

4. [Maximum mark: 6]

Alex purchases a car for €30 000. The value of the car depreciates at 15% per annum.

- (a) Find the value of the car after ten years. Give your answer to two decimal places. [2]

Alex invests €50 000 in a bank account that pays a compound interest rate of 1.5% per month.

Inflation over the same time period was 0.8% per month.

- (b) Find the number of months required for the real value of the investment to first exceed €55 000. [4]

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